

Labor Market Frictions and AI-related Human Capital Investment: Evidence from Salary History Bans

by

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Discussant

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The paper

1. Examines whether labor market regulation affects firms' investment in AI-related human capital
 - ▶ Focus on US state-level salary history bans (SHB) as a staggered regulatory shock
 - ▶ Measures AI investment as the share of employees with AI-related skills
2. Employs a staggered DiD design with various robustness exercises
 - ▶ **Findings:**
 1. SHB increases AI-related human capital investment by 22% relative to sample mean
 2. The effect is stronger in firms and industries with stronger technological capabilities and with labor that is expensive or hard to manage
 3. Investment in AI-related human capital mitigates labor cost increases due to SHB
 - ▶ Overall interesting paper & findings

Main comments: Contributions

- ▶ Introduction should be streamlined so that contributions are clear
- ▶ The main contributions are:
 1. Provide evidence that SHB affect the composition of firm's human capital
 2. Identifies labor market regulation as a new determinant of AI investment
- ▶ The labor cost mitigation result should also be elevated; It helps us understand firm's response to labor frictions
- ▶ It should be clarified that firms' investment in human capital with AI related skills does not automatically imply AI adoption
- ▶ Hypothesis development should also be streamlined
 - ▶ Is it only one hypothesis that you check?

Main comments: Methodology

- ▶ The main employed methodology is staggered DiD with fixed effects
 - ▶ It also employs several robustness exercises (stacked DiD, placebo tests, hazard models) to provide further credibility to results
- ▶ However the statistical power in the DiD setting is estimated by the number of treated/ control states, treated firms/ firm-year observations
 - ▶ Are the results driven by a few large states that adopt AI?
- ▶ Treatment is assigned by headquarter state but hiring of workers with AI skills might happen in other states
- ▶ SHB state adoption may coincide with other labor market or technology related policies
- ▶ The labor cost mechanism may be endogenous; firms that aggressively adopt AI may differ systematically from other firms
 - ▶ They may have better management, stronger digital infrastructure, better cost-control strategies etc.

Good luck with the paper!

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